APEX HEALTH INSURANCE CORPORATION

Individual Medical Policy Document

Policy Number: AHI-2025-MED-47832 **Effective Date:** January 1, 2025

Renewal Date: December 31, 2025

SECTION 1: DEFINITIONS AND GENERAL PROVISIONS

1.1 "Covered Person"

Means the individual named on the policy schedule who has paid all applicable premiums and whose application has been accepted.

1.2 "Medically Necessary"

Means services or supplies that are determined by the insurer to be appropriate and consistent with the diagnosis. The insurer reserves the sole and absolute right to determine medical necessity without requirement to consult the treating physician.

1.3 "Pre-existing Condition"

Means any condition for which the Covered Person received medical advice, diagnosis, or treatment within the 60-month period prior to the effective date. This includes conditions that a reasonable person would have sought treatment for, even if no treatment was obtained.

1.4 "Network Provider"

Means a healthcare professional or facility that has an agreement with Apex Health. The current provider directory is available online and is subject to change without notice.

1.5 "Emergency"

Means a condition that manifests acute symptoms of sufficient severity that a prudent layperson would reasonably expect the absence of immediate medical attention to result in placing the individual's health in serious jeopardy. Emergencies do not include conditions that develop gradually over 24 hours or more.

SECTION 2: ELIGIBILITY AND ENROLLMENT

2.1 Age Requirements

Eligible persons must be between the ages of 18 and 64 at the time of enrollment. Persons aged 65 or older are not eligible for new enrollment.

2.2 Health Questionnaire

Enrollment requires completion of a health questionnaire. Incomplete or inaccurate disclosure may result in retroactive cancellation of the policy and denial of all claims, including those unrelated to the undisclosed condition.

2.3 Coverage Commencement and Waiting Periods

Coverage begins 30 days after acceptance of the application, except for the following services which have extended waiting periods:

- Maternity: 12 months
- Mental Health: 6 months
- Dental: 12 months
- Pre-existing Conditions: 24 months

2.4 Dependents

Dependents may be added within 30 days of a qualifying life event. Premium adjustments for dependents are calculated at the insurer's discretion.

SECTION 3: COVERED SERVICES

3.1 Inpatient Hospital Services

Covered at 80% of allowed charges after deductible, up to a maximum of $250,000 per policy year. Includes room and board (semi-private only), operating room, and medically necessary supplies.

3.2 Outpatient Services

Covered at 70% of allowed charges after deductible. Includes physician office visits, diagnostic testing, and outpatient surgery.

3.3 Prescription Drugs

- Generic: $10 copay
- Preferred Brand: $35 copay

- Non-preferred Brand: $75 copay
- Specialty: 30% coinsurance up to $500 per prescription

Annual prescription drug maximum: $5,000. Prescriptions exceeding this amount are the responsibility of the Covered Person.

3.4 Preventive Care

Annual physical exam covered at 100%. Immunizations covered per CDC schedule. Preventive screenings as recommended by the insurer's clinical guidelines (which may differ from nationally recognized guidelines).

3.5 Mental Health and Substance Abuse

Outpatient visits limited to 20 per policy year. Inpatient treatment limited to 30 days per policy year. All mental health services require prior authorization. Coverage is limited to conditions listed in the insurer's approved diagnostic manual.

3.6 Maternity Care

Covers prenatal visits, delivery (vaginal or cesarean), and up to 48 hours of postpartum hospital stay. Complications of pregnancy are covered under inpatient services and subject to the inpatient maximum. Fertility treatments, IVF, and related services are excluded.

3.7 Rehabilitation Services

Physical therapy, occupational therapy, and speech therapy are limited to a combined 30 visits per policy year. Chiropractic services are limited to 12 visits per policy year.

3.8 Durable Medical Equipment

Covered at 50% of allowed charges. Prior authorization required for items exceeding $500. Rental preferred over purchase. Maximum benefit of $2,500 per policy year.

SECTION 4: EXCLUSIONS AND LIMITATIONS

4.1 General Exclusions

The following are not covered under any circumstances:

- a) Cosmetic surgery or procedures, unless resulting from accidental injury
- b) Experimental or investigational treatments
- c) Services provided by non-network providers, except in emergencies
- d) Work-related injuries or illnesses

- e) Injuries resulting from participation in extreme sports, including but not limited to skydiving, bungee jumping, rock climbing, and martial arts
- f) Treatment for obesity, including surgical procedures, except when BMI exceeds 40 and two prior supervised weight-loss programs have been documented
- g) Hearing aids and cochlear implants
- h) Vision correction surgery (LASIK, PRK, etc.)

4.2 Annual and Lifetime Limits

- Annual out-of-pocket maximum: $8,500 individual / $17,000 family
- Annual benefit maximum: $500,000
- Lifetime benefit maximum: $2,000,000

Note: The annual benefit maximum and lifetime benefit maximum may not comply with current federal regulations under the Affordable Care Act. This policy is offered as a limited-benefit plan.

4.3 Pre-Authorization Requirements

The following services require pre-authorization:

- All inpatient admissions (except emergency within first 48 hours)
- Advanced imaging (MRI, CT, PET)
- All surgical procedures
- Mental health services
- Physical therapy beyond 10 visits
- Prescription drugs in specialty tier

Failure to obtain pre-authorization results in a 50% reduction in benefits, applied after the deductible and coinsurance.

4.4 Coordination of Benefits

If the Covered Person has coverage under another plan, this policy pays secondary. Benefits under this policy will be reduced so that the combined payment from all sources does not exceed 100% of allowable charges.

SECTION 5: CLAIMS AND APPEALS

5.1 Filing Claims

Claims must be filed within 90 days of the date of service. Claims filed after 90 days will be denied regardless of the reason for delay. The insurer is not required to provide notice of the filing deadline.

5.2 Claims Review

The insurer will process claims within 60 business days. If additional information is required, the Covered Person will be notified and has 15 days to respond. Failure to respond within 15 days results in automatic denial.

5.3 Appeals Process

Denied claims may be appealed within 30 days of the denial notice. One level of internal appeal is available. External review is available only for claims exceeding $1,000. The insurer's decision on internal appeal for claims under $1,000 is final and binding.

5.4 Dispute Resolution

All disputes must be resolved through binding arbitration. The Covered Person waives the right to a jury trial or participation in any class action lawsuit. Arbitration must be initiated within 6 months of the disputed event.

SECTION 6: PREMIUMS AND COST-SHARING

6.1 Deductible

- Individual: $3,000 per policy year
- Family: $6,000 per policy year

The deductible resets on January 1 of each year. Preventive care is not subject to the deductible.

6.2 Premium Adjustments

The insurer reserves the right to adjust premiums at renewal with 30 days notice. Premium adjustments may be based on age, claims history, health status, and geographic location. There is no cap on annual premium increases.

6.3 Grace Period

A grace period of 15 days is provided for premium payment. If payment is not received within the grace period, the policy is terminated retroactive to the last paid-through date. Claims incurred during the grace period prior to termination will not be covered.

6.4 Reinstatement

A terminated policy may be reinstated within 30 days of termination upon payment of all past-due premiums plus a reinstatement fee of $250. The insurer reserves the right to require a new health questionnaire and impose new waiting periods or exclusions upon reinstatement.

SECTION 7: MISCELLANEOUS PROVISIONS

7.1 Policy Changes

The insurer reserves the right to modify policy terms, conditions, benefits, and exclusions at any time with 30 days written notice. Continued payment of premiums after notice constitutes acceptance of changes.

7.2 Privacy

The insurer may share the Covered Person's medical information with affiliated companies, reinsurers, and business partners for purposes including but not limited to claims processing, quality improvement, marketing, and product development.

7.3 Governing Law

This policy is governed by the laws of the state in which it is issued. However, disputes regarding coverage determinations are governed by the law of the insurer's state of domicile.

7.4 Telehealth Services

Telehealth consultations are covered only when provided through the insurer's designated telehealth platform. Third-party telehealth services are not covered. Telehealth visits are subject to the same copays and deductibles as in-person visits.

7.5 Continuation of Coverage

Upon termination of the policy, the Covered Person may elect continuation coverage for up to 6 months at 150% of the standard premium. Pre-existing condition waiting periods do not restart under continuation coverage.

END OF POLICY DOCUMENT

IMPORTANT NOTICE:

This policy document contains the complete terms and conditions of your coverage. Please read it carefully and contact your insurance agent with any questions. This document supersedes any verbal representations made by agents or representatives of Apex Health Insurance Corporation.